

# Understanding Returns and Their Effect on Profit 2021

Strategic Executive Audit for key stakeholders - Lumina Threads

## 1. Business Report: Product Returns Analysis 2021

During 2021, **Lumina Threads** saw a significant increase in product returns. This led to lower profits and created additional operational challenges. This report analyzes the main reasons behind the returns and identifies the root causes. The goal is to provide clear insights that support better decision-making and help improve profit margins.

**\$ 59.3K**

Lost Profit due to Returns (2021)  
\$ 55k (2020)

**\$ 1,983**

Lost Cost due to Returns (2021)  
\$ 1883 (2020)

**26.54%**

Churn Rate (2021)

**Direct Financial Impact:** Product returns resulted in a loss of **\$59.3K** in profit and generated an additional **\$1,983** in return shipping and handling costs. Both figures increased significantly compared to the **previous year**, showing a growing financial impact on the company.

## 2. Returns Behavioral Analysis (Category & Size)

### A) Category Defects :

- **Bars & Tops:** This category had the highest return rate in the company at **10.49%**, making it a key area of concern. These returns resulted in a direct profit loss of approximately **\$4K**.
- **Hoodies & Sweatshirts:** Returns in this category caused the highest profit loss, reaching **\$17.5K** from **932** returned units. The impact was greater because these products have higher selling prices.

### B) Size Defects :

- **Size XL:** Recorded the highest return rate **(7.23%)** and caused a profit loss of **\$13.8K**.
- **Size S:** Had the highest number of returned units **(634)** and generated the largest profit loss of **\$14.3K**.

### 3. The Main Problems & Their Real Reasons (Root Causes)

#### Problem 1: Size Problems in "Bras & Tops"

- **The Shape:** This category has the highest return rate (10.00%).
- **The Real Reason:** The problem is only in two sizes: XS (19.00% return rate) and XL (15.00% return rate).
- **Result:** The product is fine, but the sizes XS and XL are wrong (too small or too big)

#### Problem 2: High Loss in "Hoodies & Sweatshirts"

- **The Shape:** Hoodies have a normal return rate (6.00%).
- **The Real Reason:** Because we sell a huge number of hoodies, this 6% rate makes us lose **\$17,522.62** (mostly in **sizes S and XL**).
- **Result:** We need to check the quality of hoodies because they lose us the most money.

#### Problem 3: Color and Fabric Quality

- **The Shape:** Some colors have very high returns (Lavender is 13.00%, White is 10.00%).
- **The Real Reason:** Inside the Bras & Tops category, the color Black has a shocking 24.00% return rate.
- **Result:** The factory has a problem with the black dye or fabric. The color might look different from the website images.

#### **Problem 4: High Returns in Quarter 4 (End of the Year)**

- **The Shape:** Returns go up deeply in August (10%) and October (10%).
- **The Real Reason:** In Q4, the return rate for Bras & Tops jumps to 19.00% and Jackets to 16.20%.
- **Result:** Employees in the warehouse are probably making mistakes or shipping the wrong items because they are too busy during the holiday season.

#### **Recommendations**

- **Fix Sizing:** Change the size guide on the website for XS and XL Bras & Tops.
- **Check the Factory:** Talk to the supplier about the Black and Lavender materials.
- **Warehouse Check:** Help the packing team double-check orders in Q4 so they do not ship the wrong items.